

M/S Dev Prayag Paper Mill (Pvt.) & Ors. v. State of U.P. & Ors. (batch of ~90 connected writ petitions)

Allahabad High Court · Division Bench · 21 March 2017 · WRIT - C No. 30898 of 2016 (leading case; batch of ~90 connected writ petitions) · **Writ petitions dismissed; all interim orders discharged**

HEADNOTE

Clause 4.20(l) of the U.P. Electricity Supply Code, 2005 (barring a distribution licensee from requiring security under Section 47(1) if the consumer is prepared to take supply through a prepayment meter, 'as and when' the licensee offers that choice) is not ultra vires Section 47(5) of the Electricity Act, 2003. Section 47(5) is not a free-standing override of Section 47(1)-(4); the words 'subject to the provisions of this section' in Section 47(1) mean the security determination is governed by Section 47 read as a whole, not subservient only to sub-section (5). The exemption from security in sub-section (5) is conditioned on the actual availability of a prepayment meter — the consumer's mere 'preparedness' to take supply through such a meter does not, by itself, denude the licensee of the power to demand security where prepayment meters for the relevant consumer category (here, High Tension consumers) are not manufactured or available in the market; a demand for additional security on account of increased consumption remains valid until such meters become available. Read with Section 55 (which only mandates a 'correct meter', not a prepayment meter), Clause 4.20(l) tracks and does not exceed Section 47(5).

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

Prepayment-meter exemption from security deposit is conditional on availability of the meter; Clause 4.20(l) not ultra vires s.47(5)

QUESTION

Is Clause 4.20(l) of the Supply Code, 2005 — which withholds the prepayment-meter security exemption until the licensee offers the consumer a choice to opt for such a meter — ultra vires Section 47(5) of the Act, 2003, and can an HT consumer avoid a demand for additional security merely by expressing willingness to take supply through a prepayment meter that is not actually available?

HOLDING

No, the clause is intra vires, and no, mere willingness does not suffice. Section 47(5) exempts a consumer from security only where the consumer is 'prepared' to take supply through a prepayment meter, and this preparedness is itself contingent on the actual availability of such a meter; Section 55 separately mandates only a 'correct meter', not a prepayment meter. Since prepayment meters for HT consumption are neither manufactured nor available in the Indian market, the licensee is under no obligation to install one merely on request, and the exemption in Section 47(5) does not arise. Clause 4.20(l) of the Supply Code, which links the exemption to the licensee 'providing a choice to consumer to opt' for a prepaid meter, does no more than track Section 47(5) and is not an independent or additional fetter; it is not ultra vires. Consequently, a demand for additional security on account of increased HT consumption, made while prepayment meters remain unavailable, is valid. ¶ [the Section 47\(5\)/Clause 4.20 discussion \(unnumbered order\)](#)

LIMITING FACTS

A batch of ~90 writ petitions by High Tension consumers challenged demand notices for additional/revised security deposit issued under Clause 4.20 read with s.47, after the consumers had written to the licensee requesting installation of prepaid meters under s.47(5); it was undisputed that prepayment meters for HT consumers were neither manufactured nor available in the market, and none of the petitioners challenged the quantum of the demand or the validity of security under s.47(1) as such.

INTERPLAY · EA2003::47

'Subject to the provisions of this section' in s.47(1) means s.47 read as a whole, not subservient to sub-section (5) alone

HOLDING

The words 'subject to the provisions of this section' in Section 47(1) indicate that the fixation of reasonable security is governed by Section 47 read as a whole; sub-sections (1) and (2) are not made subject to sub-section (5) alone, rejecting

the petitioners' submission (relying on the Black's Law Dictionary meaning of 'subject to' as explained in Saurashtra Chemicals) that sub-section (5) overrides sub-sections (1)-(4). ¶ the 'subject to' discussion (unnumbered order)

PRINCIPLE TAGS

prepayment-meter-exemption-conditional-on-availability The s.47(5)/Clause 4.20(1) security exemption for consumers willing to take supply through a prepayment meter operates only once such meters are actually available for that consumer category; unavailability (as for HT consumers) leaves the licensee's ordinary power to demand security under s.47(1)-(4) intact. Followed and agreed with the Telangana/AP High Court's parallel ruling in *Sarwottam Ispat. Lead authorities: Sarwottam Ispat Ltd. v. Southern Power Distribution Company of Telangana Ltd. & Ors.* [3799508].
¶ the Sarwottam Ispat discussion (unnumbered order)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE ABSENCE OF REGULATIONS UNDER SECTION 181 (AS OPPOSED TO THE SUPPLY CODE) RENDERS THE DEMAND FOR SECURITY WITHOUT AUTHORITY OF LAW

Not examined in detail — raised only in oral submissions, not pleaded in any of the writ petitions, and in any event the Supply Code was held to cover the field that regulations would otherwise have addressed. ¶ unnumbered order

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Sarwottam Ispat Ltd. v. Southern Power Distribution Company of Telangana Ltd. & Ors.</i> 2016 (6) ALD 162 [3799508] High Court of Judicature at Hyderabad (DB)	Where pre-paid meters are not installed, it is mandatory for consumers to pay the security deposit demanded; a request for a prepaid meter when none is available does not entitle the consumer to a waiver, and Section 47 does not envisage waiver or an alternative mode of security (e.g. bank guarantee) enforceable by writ.	Followed and agreed with in full (the same Chief Justice had been a member of that Division Bench). ¶ the Sarwottam Ispat discussion (unnumbered order)	Court	Followed
<i>Commissioner of Central Excise, Bhavnagar v. Saurashtra Chemicals Ltd.</i> (2007) 10 SCC 352 [1218178] Supreme Court	The expression 'subject to' denotes a limitation — 'governed or affected by', 'provided that' — citing <i>Ashok Leyland Ltd. v. State of T.N.</i> and <i>Black's Law Dictionary</i> .	Relied on by the petitioners for the proposition that s.47(5) overrides s.47(1)-(4); the Court accepted the dictionary meaning but held it supported the opposite conclusion — that s.47(1) is governed by s.47 as a whole, not subservient to s.47(5) alone. ¶ the 'subject to' discussion (unnumbered order)	Petitioner	Distinguished
<i>United India Insurance Co. Ltd. v. Lehu & Ors.</i> (2003) 3 SCC 338 [726134]	(Cited alongside <i>Saurashtra Chemicals</i> in support of the petitioners' 'subject to' argument.)	Relied on by the petitioners; rejected along with <i>Saurashtra Chemicals</i> for the same reasons. ¶ the 'subject to' discussion (unnumbered order)	Petitioner	Distinguished

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
Supreme Court				
<i>Chandra Kumar Shah & Anr. v. The District Judge & Ors.</i> AIR 1976 All 328 [1941349] Allahabad High Court (FB)	The power to frame regulations/rules cannot be read as a source of authority to enact independent legislation or impose obligations not otherwise envisaged by the parent Act.	Cited by the petitioners in support of a contention (that Clause 4.20 exceeds the s.181 regulation-making power) which the Court declined to examine in detail as it was not pleaded and was raised only in oral submissions. ¶ the regulation-making-power discussion (unnumbered order)	Petitioner	Referred
<i>Bharathidasan University & Anr. v. All-India Council for Technical Education & Ors.</i> (2001) 8 SCC 676 [1384523] Supreme Court	(Same proposition as Chandra Kumar Shah — regulation-making power is not a source of independent legislative authority.)	Cited to the same effect; not examined in detail for the same reason. ¶ the regulation-making-power discussion (unnumbered order)	Petitioner	Referred

SCJ-053 · M/S Dev Prayag Paper Mill (Pvt.) & Ors. v. State of U.P. & Ors. (batch of ~90 connected writ petitions) · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.